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Private Capital in Sports: PE Is Up to Bat

An overview of PE activity across the major North American professional sports leagues

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- In recent years, all North American professional sports leagues have introduced new ownership regulations to enable minority investment by PE-style funds. Consequently, numerous firms and their funds have promptly seized the opportunity to invest in the space, capitalizing on the available prospects.
- Sports franchises are experiencing a significant increase in worth, driven primarily by expanded media rights agreements. This surge is fueled by sports' enduring popularity on live TV, aided by the emergence of sports betting, among other catalysts, and the potential it offers teams.
- The time is now for women's sports. With growing popularity concurrent with expansions by several leagues, the ecosystem is primed for additional PE investment to help it reach the next level. This is exemplified by the nearly \$400 million invested by the PE ecosystem into NWSL and its teams since the beginning of 2024.
- Going forward, we expect more capital to pour into sports-focused funds, as LPs tap in to the previously inaccessible asset class. This sector consistently presents fresh investment prospects, whether in individual teams or the broader ecosystem. As team valuations continue to climb, there will be several majority and minority owners seeking to sell stakes for varying reasons, and PE firms will be there to answer the call.

Overview

Sports franchises, affiliated businesses, and other sports-related companies remain highly sought-after investments. The value of teams, their media rights deals, and supporting enterprises consistently reach new heights. Whenever a team becomes available, there is fierce competition among investors vying for ownership rights. Historically, when these teams were put up for sale, the local billionaire would usually throw a hat in the ring among other wealthy individuals. In recent years, more PE investors are seeking stakes in teams as many leagues embrace PE investment for the first time. Moreover, some leagues are growing faster than ever, driven by fans' and investors' newfound interest. This is being witnessed in several professional women's sports. PE's broad expansion into sports also includes supporting real estate, media, and technology businesses. There is also growing interest in media rights contracts, which experience exponential growth each time leagues negotiate new contracts with major media conglomerates; though, PE has yet to break into the media rights space in North America.

This note focuses primarily on the North American sports ecosystem and the leagues encompassing it.¹ Furthermore, it concentrates on private capital investments in sports, with an emphasis on private equity's growing participation in the industry. PitchBook tracks PE activity and ownership in sports teams across the major North American sports leagues deemed PE-backed or [PE-affiliated](#). PE-backed teams have received PE investment, and PE-affiliated teams are backed by individuals from the PE industry. Both are pooled together and labeled as teams with PE connections.

Professional sports leagues PE ownership rules

	NFL	NBA	MLB	NHL	MLS	NWSL
Maximum stake teams can sell to PE funds	10%	30%	30%	30%	30%	30%
Maximum stake a PE fund can own in one team	10%	20%	15%	20%	20%	20%
Maximum team stakes a PE firm can hold	6	5	Unlimited	5	4	3
Minimum investment	3%	N/A	N/A	\$20M	\$20M	5%
Average franchise value (\$B)	\$6.5	\$4.7	\$2.6	\$1.9	\$0.7	\$0.1

Sources: [NFL](#), [NBA](#), [MLB](#), [NHL](#), [MLS](#), and [NWSL](#) • Geography: North America • As of March 31, 2025

¹: For analysis of European football, read our [Private Capital in European Football](#) and [Private Capital in European Football: Part II](#) notes.

Why sports?

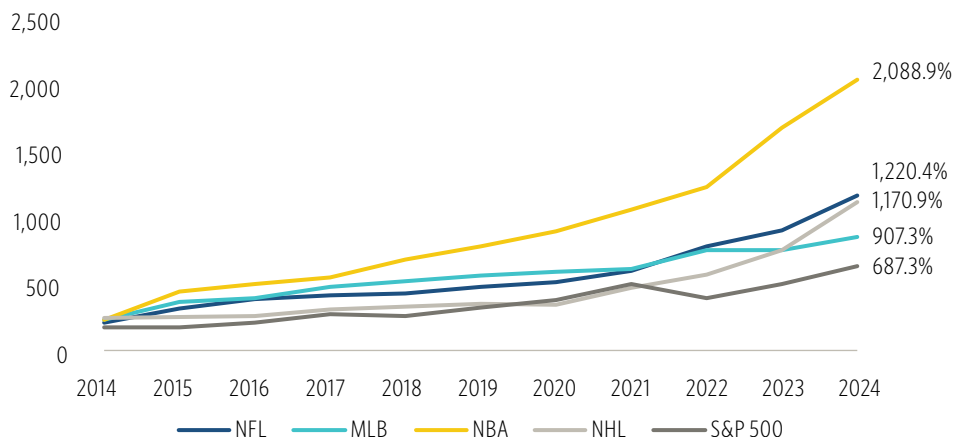
Sponsors seek to invest in sports for a plethora of reasons. Whether it is soccer, basketball, or any other sport, they all share a common factor: a widespread fan base across the globe. Sports is a unique industry that forges powerful emotional connections and fosters unwavering loyalty among fans. These devoted fan bases provide a steady and engaged market for sports-related products, such as merchandise, tickets, and broadcasting rights. Moreover, sports possess a universal appeal that transcends borders, cultures, and languages. Popular sports like soccer and basketball enjoy an immense international following, paving the way for global expansion and business prospects. Furthermore, these teams are scarce assets, with leagues averaging around 30 teams and most having no plans for expansion. The fewer options there are for potential buyers or participants in a market, the more valuable those options become.

The sports industry generates opportunities across various interconnected sectors. These include sports technology, sports apparel and equipment manufacturing, sports media and broadcasting, sports tourism, sports medicine, and sports betting. Investments in these ancillary industries can prove lucrative due to their symbiotic relationship with the sports sector. Furthermore, investor interest in the domain is fueled by the long-term value trajectory of sports franchises and organizations. The rise in team value over time, propelled by factors such as on-field success, strong brand presence, and potential for revenue growth, contributes to the allure of sports investments. Furthermore, the only periods in the past two decades when professional leagues lost money were during the peaks of the global financial crisis from 2008 to 2009 and the beginning of the COVID-19 pandemic in 2020.

PE investment in sports has gained significant popularity in recent years. PE firms are drawn to this sector because of its potential for high returns, stability, and the opportunity to acquire valuable assets like sports teams, venues, and other related businesses. These investments can involve purchasing a minority or controlling stake in a team or league, investing in the media side of the business, or providing capital for developing new sports venues, as detailed in this note. Moreover, while the bulk of revenues is derived from media rights, these organizations have several different recurring revenue sources, such as ticket sales, sponsorships, and the sale of team merchandise, which are attractive to PE firms as areas for potential growth. One key advantage of PE investment in sports is the potential for increased revenue and profitability. PE firms often bring finance, management, and marketing expertise to their investments, offering teams and leagues the ability to enhance their operations, grow their fan base, and expand revenue streams.

Return profile

Total returns for select sports leagues and the S&P 500

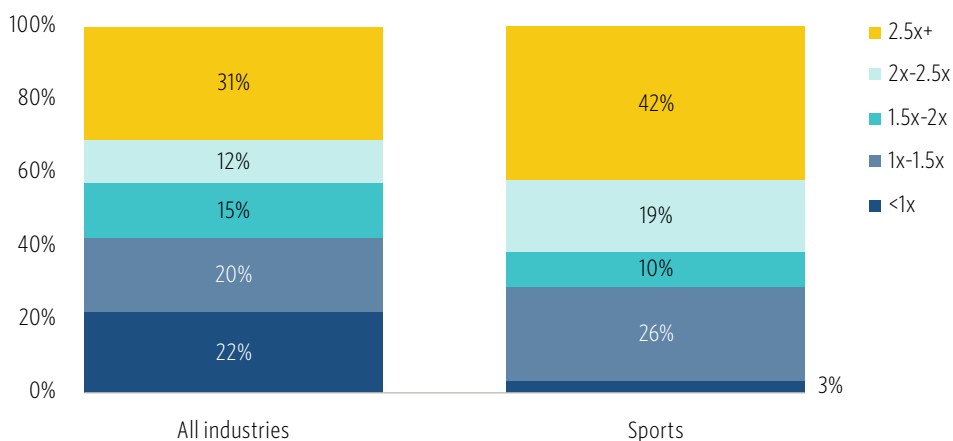


Sources: [Sportico](#), [Forbes](#), and PitchBook • Geography: North America • As of December 31, 2024
 Note: This tracks the average team value each year and the year-end price of the S&P 500, accounting for dividends.
 Returns are based on data from 2002 to 2024.

Not only have sports franchises been a predominantly uncorrelated asset to the public markets at large, but the growth opportunities are evident. While these teams have an obvious overlap with technology and media, sports investments have a much different return profile. These minority investments have a return profile similar to real estate, with an upside from expansion opportunities rather than typical growth equity minority investments. The long-term media rights with built-in escalations are similar to long-term leases. Sports remain the ultimate content-generating machine, especially because most sports content is consumed live. Furthermore, as the world has moved to an on-demand and streaming-services consumption model, sports have adapted and remained the go-to form of live entertainment. The elevated demand in the business has led to handsome returns for owners, either through the sale of a more valuable team or via an increase in net worth. New projects, such as online sports betting or supporting real estate venues, act as options and could add to the overall return. Owners of sports franchises in the NFL, the NBA, the NHL, MLB, and Major League Soccer (MLS), as well as European football clubs, have seen their fortunes rise as average team valuations have outpaced the S&P 500 over the past 20 years.²

2: "Sports Ownership Shifts From Trophy Asset To Lucrative Investment," S&P Global, Iuri Struta, March 20, 2024.

Share of sports deals by multiple on invested capital



Source: [DealEdge](#) • Geography: Global • As of April 15, 2025
Note: Usage of DealEdge data outside this context, especially further publication or reprint, requires the permission of Bain & Company.

The regular recurrence in the increase of sports franchise valuations is primarily driven by two significant events that occur approximately every five to 10 years: media rights contract renewals and collective bargaining agreements (CBAs). These two events typically happen in separate years, as the contracts are independent. Therefore, these two negotiations can allow teams and leagues to see increases in value in either a short or extended period of time, depending on the contract overlap. Media rights are the agreements between the league and a group of television networks that nowadays pay these leagues billions of dollars over an extended period for the rights to broadcast that league's games on its network. These deals are the league's and teams' most prominent source of revenue, offering teams a constant stream of revenue over the contract's life. CBAs are negotiations between the league's players' union and the owners. These include essential factors such as minimum and maximum player salaries, salary caps, luxury taxes, and most importantly, the revenue-sharing provisions among teams and players. This provision refers to the distribution of proceeds generated by ticket sales to a given event, which can significantly impact a team's total revenue.

Adding liquidity to an illiquid market

Private markets are known for their illiquidity compared with their public market counterparts, which often results in a liquidity premium favoring private markets. This illiquidity is particularly prominent in sports franchises; before the introduction of PE capital, sales or other liquidity processes took several months, if not years, to transpire, even with the high demand for these assets. This issue is expected to worsen as team valuations continue to soar. Higher valuations will make it increasingly difficult for individual investors to purchase these stakes or cash out of one. As sporting leagues have opened their doors to PE, an influx of money has allowed minority owners to sell their stakes to PE firms and cash out. Moreover, the same logic applies to majority-stake owners who can sell a minority stake to gain

some liquidity. In either context, PE firms can provide liquidity to these investors while also gaining entry into the exclusive club of sports team ownership. Several NFL owners recognized this issue and brought it to the league's attention, and as a result, the league made rule changes in August 2024.

Risks

Private equity can benefit teams and leagues, but its integration raises concerns about its investment goals or thesis. An increased infusion of PE capital into sports may lead to greater industry commercialization, higher ticket prices, and diminished investment in grassroots sports. Moreover, PE firms may prioritize short-term profits over the long-term sustainability of the teams or leagues they invest in. While these risks raise due concern, it is worth noting that the majority of these stakes are passive in nature and do not include voting rights. Additionally, the issue of exit strategies merits attention, as the process is still in its infancy, and exits from teams thus far have come when an entire team was sold rather than a PE firm looking to exit its investment. PE investors typically operate within a limited investment horizon, which introduces uncertainty regarding exit strategies and the potential for future instability of a team or league.

There are also concerns about the broader sports industry. For example, although lockouts are relatively rare, they can pose a significant challenge to leagues, teams, players, investors, and revenues. A lockout is a shutdown of a professional sports league, including team facilities and activities. Lockouts often serve as a negotiation tactic that owners employ toward players during the renewal of CBAs. Not only can this result in short-term financial losses, but it can also impact the fan base. If a league experiences a lockout, fans may turn their attention to other sports leagues, and some may not return. Similarly, leagues negotiating long-term media rights present the most considerable risk to any sports team investment. If the deal comes during a lockout or recession, it could diminish the growth of teams for a decade or more. However, several leagues held negotiations during the COVID-19 pandemic and have done just fine.

PE funds dedicated to sports

Private equity firms are now allocating substantial funds to the sports, media, and entertainment sectors. One of the front-runners in this trend is Ares Management, which successfully closed a \$3.7 billion fund dedicated to this space in the latter half of 2022. Ares is also in the process of launching and subsequently taking monthly subscriptions for its newest sports, media, and entertainment semi-liquid product, intending to broaden investor access to this growing opportunity of sports investment. Arctos Sports Partners also achieved a significant milestone by closing its second fund, amassing more than \$4.1 billion by its final close in April 2024. This fund will be utilized for strategic investments within the sports industry. In May 2024, RedBird Capital Partners closed its fourth flagship vehicle at \$3.3 billion and will pursue more sports, media, and financial services businesses. Additionally, first-time managers are making their mark, as Bluestone Equity Partners closed its inaugural growth equity fund at \$300 million in total capital raised in early 2023. This fund invests in the dynamic sports, media, and entertainment landscape.

More and more funds are being raised to invest in the sports ecosystem, both from emerging and experienced managers. For example, PE giant Sixth Street, which has approximately \$75 billion in AUM, recently announced its plan to raise its first fund dedicated to sports investing. Sixth Street is not new to the space. In addition to its purchase of the Bay Area National Women's Soccer League (NWSL) team, it was part of a Michael Dell-led consortium that purchased a 20% stake in the San Antonio Spurs in 2021. More recently, TPG announced the launch of TPG Sports, which will pursue investment opportunities across the sports ecosystem. It has become the latest of several legacy PE managers to enter the sports space and is looking to invest across various opportunities. Other firms are taking less traditional routes to invest in the space. For example, Marc Lasry, former Milwaukee Bucks owner and CEO of Avenue Capital Group, sold his stake in the Bucks in 2023 so Avenue Capital could raise a dedicated sports fund. Similarly, Harbinger Sports Partners, led by a consortium of professional sports team insiders—including former Dallas Mavericks owner Mark Cuban—has launched a \$750 million PE fund to acquire minority stakes in professional sports teams.

As mentioned, Ares Management was one of the first players to raise a multibillion-dollar fund in the space, completing its fundraising in 2022. Unlike the funds above that are equity-denominated or labeled growth equity funds, Ares' fund is mezzanine-based. It invests across the capital structure in debt and equity, including senior, junior, preferred, and minority equity in target investments.

Notable PE investors in sports

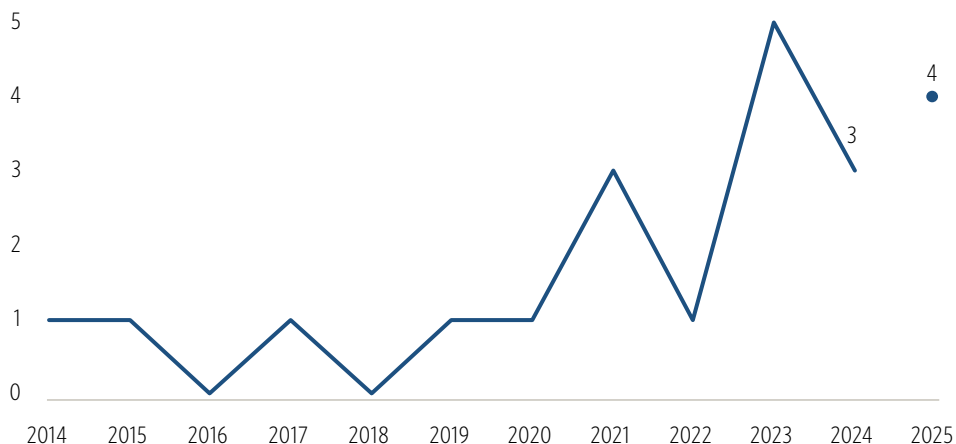
Investor	Active sports investments count	Total AUM (\$B)	Primary investor type	HQ location
Arctos Sports Partners	25	\$9.8	Other private equity	Dallas, US
Ares Management	16	\$545.9	Asset manager	Los Angeles, US
CVC Capital Partners	12	\$216.6	Asset manager	Luxembourg, Luxembourg
Silver Lake	10	\$103.0	PE/buyout	Menlo Park, US
RedBird Capital Partners	10	\$12.0	PE/buyout	New York, US
MSP Sports Capital	7	\$0.6	PE/buyout	New York, US
Sixth Street Partners	7	\$100.0	Asset manager	San Francisco, US
Clearlake Capital Group	6	\$90.0	PE/buyout	Santa Monica, US
Bruin Capital	6	N/A	PE/buyout	White Plains, US
Blue Owl Capital	2	\$273.0	Asset manager	New York, US

Source: PitchBook • Geography: Global • As of March 31, 2025

Note: Investments do not include add-on activity. Ares and Sixth Street investments include both debt and equity.

Recent PE sports deals

Sports teams deal count



Source: PitchBook • Geography: North America • As of May 20, 2025

In recent years, PE sports deals have been on the rise, in the form of a PE firm acquiring a stake in a franchise or an individual from the PE industry acquiring a stake in a team. Notable deals include the acquisition of the Washington Commanders for \$6.05 billion by Apollo co-founder Josh Harris. At the time, it was the most money paid to acquire a sports team ever. For the deal, Harris arranged to receive capital from Arctos Sports Partners and Ares Management, two of the most prominent PE investors in sports. However, the NFL does not allow PE financing and would not permit more than \$1.1 billion in debt. As a result, Harris received a commercial loan from Bank of America to fund part of the deal.

Over the past couple of years, numerous teams across leagues, including MLB, the NHL, the NBA, and the NFL, have been put up for sale. When these teams hit the market, many billionaire buyers, including those with private equity ties, expressed initial interest. Although PE firms cannot hold a majority stake in these teams, many are enticed by the prospects that a minority stake presents.

2025 deal activity was jump-started in March when MLB's San Francisco Giants sold a 10% stake in the franchise to Sixth Street for an undisclosed amount. The team will use the proceeds from the deal to improve its aging stadium and renovate the real estate surrounding it. This deal is not the first time the Giants have been exposed to PE capital, as Arctos also currently holds a minority stake in the team. Nonetheless, the deal expands Sixth Street's footprint in the space, complementing its previous investments in the NBA, NWSL, and European football clubs.

In the same week, the NBA's Boston Celtics traded hands, selling to co-founder and managing partner of PE firm STG Partners William Chisholm for \$6.1 billion. This surpassed the Commanders deal previously detailed, making it the largest transaction ever for a North American professional sports team. Moreover, the deal is structured in two parts: an upfront acquisition of a majority stake in the summer—valuing the team at \$6.1 billion—with the second payment coming in the first quarter

of 2028, which could value the franchise up to \$7.3 billion, depending on the NBA's overall growth and performance. Interestingly, Sixth Street has agreed to contribute \$1 billion to the Celtics deal, making it a very busy week for the PE firm after its investment in the Giants just a few days prior.

Women's sports

Historically, sports investments have seen a significant portion of invested capital go toward men's teams and leagues. However, there has been a notable shift, with increased investments in women's sports, notably in women's soccer. In March 2024, Sixth Street led an investor consortium for a Bay Area expansion team named Bay FC in the NWSL, making history by becoming the first financial institution to hold a controlling stake in a US professional sports team. The total investment, amounting to \$125 million, included a \$53 million expansion fee—a league record at the time—and the cost of constructing a new training facility.³ The 14 NWSL clubs, including new valuations derived from the numerous team acquisitions in recent months, are now worth \$1.5 billion,⁴ just a few years after teams were selling for \$2 million. Now, the average NWSL team is worth \$104.2 million.

In the first quarter of 2024, Carlyle entered the sports ecosystem alongside MLS team Seattle Sounders FC, purchasing NWSL team Seattle Reign FC for \$56.3 million, well above the \$3.5 million the team sold for just five years prior. Similarly, fellow NWSL team Portland Thorns FC was acquired in January 2024 for \$63 million by the Bhathal family, the co-founders and partners of Revitate, a family office and PE platform specializing in sports, real estate, and consumer brand investments. The third such recent deal in early 2024 in NWSL came when Lauren Leichtman and husband Arthur Levine, founding partners of Levine Leichtman Capital Partners

Notable women's sports deals since 2023

Team	Investor	Deal value (\$M)	Deal date	HQ location
Denver FC	Ariel Investments	\$110.0	January 30, 2025	Denver, US
Portland WNBA team	Raj Capital	\$125.0	September 18, 2024	Portland, US
Angel City FC	Bob Iger and Willow Bay	N/A	July 3, 2024	Los Angeles, US
Seattle Reign FC	The Carlyle Group, Seattle Sounders FC	\$58.0	June 17, 2024	Seattle, US
San Diego Wave FC	Levine Leichtman Capital Partners	\$35.0	March 14, 2024	San Diego, US
FC Como Women	Mercury 13	N/A	March 5, 2024	Como, Italy
Portland Thorns FC	Raj Capital	\$63.0	January 2, 2024	Portland, US
NC Courage	Avenue Capital Group	\$108.0	September 19, 2023	Charlotte, US
Bay FC	Sixth Street Partners	\$125.0	June 5, 2023	San Francisco, US
Women's Tennis Association	CVC Capital Partners	\$150.0	March 7, 2023	Saint Petersburg, US

Source: PitchBook • Geography: North America and Europe • As of March 31, 2025

3: "Sixth Street Commits \$125mn To Buy New US Women's Football Club," *Financial Times*, Sara Germano, April 4, 2023.

4: "2024 NWSL Valuations Ranking," *Sportico*, Kurt Badenhause, September 25, 2024.

(LLCP), agreed to acquire San Diego Wave FC for a former-record \$113 million—LLCP paid \$35 million upfront for 35% of the team and agreed to buy the remaining 65% for \$78 million after the 2024 season.⁵ Lastly, Disney CEO Bob Iger and wife Willow Bay acquired Angel City Football Club in September 2024, in a deal that values the Los Angeles-based team at \$250 million, the highest ever for a US women’s sports team. As the league expands, NWSL has seen heavy investor interest, adding new teams and markets with nothing but open grass ahead.

Investor interest in women’s sports is evident across various leagues. The WNBA, for instance, raised \$75 million from investors in early 2022, including notable figures such as Guggenheim Partners chief executive Mark Walter, and Karen Finerman, chief executive of hedge fund manager Metropolitan Capital Advisors. Moreover, the momentum has continued as Monarch Collective launched a fund that raised \$100 million for women’s professional sports. Toward the end of 2024, Ariel Investments launched a PE fund focused on women’s sports, including an initial deal as lead investor in Denver’s new NWSL franchise. As women’s sports continue to attract more outside capital and grow, they may present better long-term investment opportunities than the more-established men’s sports.

NWSL and the WNBA are still in their infancy compared with their male counterpart leagues, MLS and the NBA, respectively. As a result, there is much more room to grow in professional women’s sports, which is catching PE investors’ eyes. The WNBA recently wrapped up the playoffs in the best year in league history across various metrics. The increased viewership will benefit the league for years to come, with no doubt that private equity is watching this growth and looking for teams and surrounding businesses to invest in. Furthermore, with the addition of three expansion teams—one in 2025 and two in 2026—PE may look to invest and potentially get in on the ground floor of a new team. For example, one of the 2026 expansion teams coming to Portland is already PE-affiliated and will be owned and operated by the Bhathal family, mentioned above for their acquisition of the NWSL’s Portland Thorns. Moreover, there is a lot of overlap in ownership between the NBA and the WNBA, as NBA team owners often also own the WNBA team in the same city. Additionally, as nine NBA teams have PE backing, according to the PitchBook private equity sports dashboard, there are established relationships with PE firms in the space; it is not a stretch to say that this could help further investment by PE in the WNBA.

The growing viewership of women’s professional leagues contributes to their upward trajectory. For instance, WNBA game viewership increased by 16% from 2021 to 2022, and traffic on WNBA.com saw an almost 100% increase during the same period.⁶ The same trend rolled into 2024 as number one overall pick Caitlin Clark and her rookie class peers have brought a level of attention to the WNBA that the league has never seen before. Approximately 400,000 fans attended WNBA games from the tip of the season in mid-May through the end of the month, with the most attendance through the first few weeks of the season in 26 years. Over half of these WNBA games were sellouts, a 156% increase from the previous season.

5: “San Diego Wave Sold for \$120M, an NWSL Record,” AXIOS San Diego, Kate Murphy, March 15, 2024.

6: “WNBA Delivers Most-Watched Regular Season In 14 Years and Shatters Fan Engagement and On-Court Records,” WNBA, August 17, 2022.

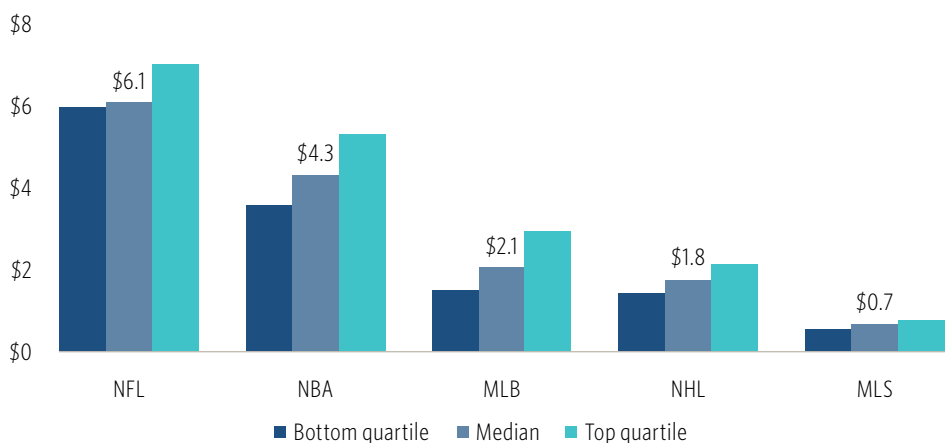
Additionally, WNBA merchandise sales saw a 236% increase YoY during the first week of the season.⁷ This spike in attention helped the WNBA negotiate its latest media rights contract. Under the new agreement, the league will receive \$2.2 billion in revenues from media outlets over 11 years and anticipates selling other packages that could bring in an additional \$60 million annually. This agreement represents a six-fold increase over the last media rights deal.

Women's tennis has been another sport garnering more investor interest. A significant development for the sport occurred in 2023 when PE firm CVC Capital Partners acquired a 20% stake in the Women's Tennis Association (WTA) for \$150 million, valuing the WTA at \$750 million. Through WTA Ventures, this partnership will focus on generating revenue from sponsorship sales, broadcasting, and data rights.⁸ The WTA recently announced a multiyear partnership with Saudi Arabia's sovereign wealth fund (SWF) PIF. The partnership will see PIF become the naming partner for the WTA's player ranking, while the tour's biggest showcase, the WTA Finals, will move to Riyadh for the next three years and see the prize money for the annual event increase from \$9 million to \$15.25 million.

Even VC is making its mark in women's sports. In 2022, before the team's most recent ownership group took over, Angel City FC received a valuation of \$100 million following its Series A round. Similarly, League One Volleyball secured \$100 million in Series C funding at an unknown valuation in late September 2024. And unrivaled, a new 3-versus-3 women's basketball league announced it raised \$28 million in its Series A in October 2024, following up on its seed round of \$7 million earlier in the year. The investor consortium includes several VC funds but also significant participation from men and women professional athletes across several sports, highlighting the excitement for such a product.

Activity by league

Team deal value dispersion by professional sports leagues

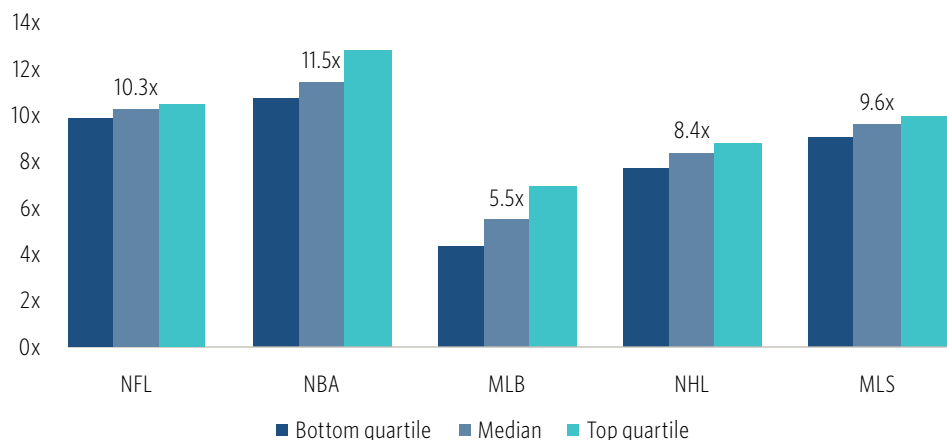


Sources: [CNBC](#) and [Forbes](#) • Geography: North America • As of December 31, 2024

7: "WNBA Opens 2024 Season With Highest Attendance in 26 Years and Most-Watched Games Ever on National TV," WNBA, June 10, 2024.

8: "WTA Announces Strategic Partnership With CVC To Accelerate Growth of Women's Tennis," CVC, March 7, 2023.

Valuation to revenue multiples dispersion by professional sports leagues



Sources: [CNBC](#) and [Forbes](#) • Geography: North America • As of December 31, 2024

The NFL

The NFL stood as the exception for several years, deliberately choosing not to accept investments from PE firms and other institutional investors. However, recent developments have shifted this stance. The league formed a committee of owners tasked with revising its bylaws that would govern potential PE investments and follow a set list of stipulations, similar to the practices of other major North American sports leagues. This move was partly motivated by the significant increase in team valuations in recent years. Given these soaring valuations, teams and the league alike may need dependable capital sources, particularly for owners seeking liquidity. Moreover, private equity could offer a fresh stream of capital for financing new ventures, such as stadium upgrades or developments in adjacent real estate.

The decision-making process was thorough and deliberate, with the league carefully considering all factors, including the size of the investment. The league announced that an individual private equity firm or institutional investor could acquire up to a 10% stake in any team. The 10% cap would be the starting point, and the league is open to increasing it in time. Furthermore, firms and funds can hold stakes in up to six teams across the league.⁹ However, these stakes will be entirely passive, and sponsors cannot have any voting rights within teams. The list of permitted PE investors includes Arctos Partners, Ares, Sixth Street, Blackstone, CVC Capital Partners, and a consortium consisting of Carlyle, Dynasty Equity, and Ludis Capital—an investment firm founded by Hall of Fame running back Curtis Martin. Collectively, these investors intend to commit \$12 billion of capital to be raised (including leverage) over time that can be divided across investments in multiple teams.¹⁰

9: "The NFL Is Open To Private Equity Team Ownership of up to 10%, Commissioner Roger Goodell Says," CNBC, Alex Sherman, July 11, 2024.

10: "NFL Owners Vote in Favor of Private Equity Investment; Select Firms Commit \$12 Billion," CNBC, Jessica Golden and Michael Ozanian, August 27, 2024.

Another critical issue addressed was the exit strategy for these investors, which, in line with practices in other leagues, may not be as straightforward as desired. Exiting the investment requires the approval of the ownership group and the league itself. To help combat this, the league requires any PE firm that acquires a stake in a team to hold the stake for a minimum of six years, similar to the NBA and NHL, where stakes must be held for at least five years. The league also stipulated that investments should be made through common equity rather than through a senior security instrument that yields a regular payout or special dividend. One final provision these investors agreed to is to provide an undisclosed portion of profits from the sale of a stake back to the league. The only other such agreement seen across professional sports is the agreement between the NBA and Blue Owl, which is detailed below. While the accords differ, it is not the first time a professional sports league has implemented such a structure.

Since the rule change in late August 2024, rumors of such investments started circulating. Only a few months later, at the December owner's meeting, these rumors came to fruition, showcasing private equity's eagerness to invest in the space. Recent developments since the rule change include Miami Dolphins owner Stephen Ross selling minority stakes to Ares (10%) and Brooklyn Nets owner Joseph Tsai (3%) at an \$8.1 billion valuation. The deal also includes positions in the Dolphins' venue, Hard Rock Stadium, and Formula One's (F1's) Miami Grand Prix, which races on the land surrounding the stadium. The other PE-led stake acquisition approved at the December owner's meeting was the 10% stake in the Buffalo Bills acquired by an Arctos Partners-led group. More recently, Arctos agreed to acquire an 8% stake in the Los Angeles Chargers, just months after Tom Gores, founder of Platinum Equity and owner of the NBA's Detroit Pistons, agreed to acquire a 27% stake in the team. Additionally, Silver Lake co-CEO Egon Durban acquired a 7.5% stake in the Las Vegas Raiders from majority owner Mark Davis. The San Francisco 49ers sold a 6.2% stake in the organization to three new LPs at a record valuation of \$8.6 billion. The new owners include ICONIQ Capital partner Will Griffith and his wife Calla Griffith.

American football has consistently attracted interest from investors longing for the opportunity to invest in the ecosystem. The NFL is the world's most lucrative sports league, bringing in the most revenue, including the largest-ever media rights contract worth \$10 billion per year. Furthermore, since 2020, NFL franchises have seen a near-triple-digit average increase in their valuation—all the more reason to allow PE to enter the space and help provide liquidity where needed. With the league now welcoming PE firms, we anticipate a surge in investor interest and an influx of capital into the ecosystem.

The NBA

In 2020, the NBA allowed PE to become a minority investor. PE firms are limited to acquiring a 20% stake in any NBA team but can invest in up to five teams. Furthermore, no NBA team can have over 30% of total PE ownership. These regulations are similar to those in other major sporting leagues allowing PE investment.

Blue Owl and its Dyal HomeCourt Partners fund are prominent players in this arena. Blue Owl entered into a special agreement with the NBA, which grants the firm unique investment permissions, such as investing in more teams than is typically allowed. However, Blue Owl must share an undisclosed portion of its earnings from these teams with the league. The fund has invested in the Phoenix Suns, Atlanta Hawks, Sacramento Kings, and Minnesota Timberwolves. Blue Owl initially took a 5% stake in the Suns when the team was valued at \$1.5 billion. More recently, the Suns were sold in a deal that valued the team at \$4 billion, resulting in a substantial payday for Blue Owl and its stake.

The NBA has gone further in opening its doors to investors, now allowing SWFs, pensions, and endowments to acquire passive stakes in its teams. This move expands the league's reach to investors who, by some estimates, manage assets exceeding \$30 trillion.¹¹ The NBA is actively seeking more institutional investors to participate in team ownership, and this change is a testament to that effort. The new guidelines restrict sovereign funds, primarily found in oil-rich Middle Eastern countries, limiting their ownership to a passive role without control. However, this strategy can benefit all parties involved. Granting access to SWFs can help the NBA penetrate markets where it previously had a limited presence, resulting in increased team revenues through expanded media rights deals and jersey sales. While most other leagues have yet to take the same leap, they will undoubtedly observe the NBA's approach and how it fares, potentially paving the way for others to follow suit.

The NBA recently closed negotiations for its latest media rights, ending the stirring anticipation about whether the deal will surpass expectations or align with more conservative projections. In the fall of 2014, the NBA inked two nine-year contracts totaling \$24 billion with Walt Disney (ABC and ESPN) and Warner Bros. Discovery (TNT Sports). The latest media rights agreement will see the association bring in \$6.9 billion annually, practically tripling its revenues to \$76 billion over the next 11 years,¹² which compares favorably with the current contract mentioned above that runs through the end of the 2024/2025 season. Media rights significantly impact team values and the overall ecosystem, with media revenue being a primary source that heavily influences investors. A larger media rights contract translates to increased team revenue, positively impacting overall value. Securing lucrative media rights agreements can help ensure returns for current owners and investors and make the league more appealing to potential new investors. The new NBA agreement carries significant weight and showcases the league's ability to drive revenue growth as it continues its pursuit of catching its peer, the NFL.

MLB

Private equity capital found its way into MLB in 2019, when the league became the first of the major North American leagues to allow for the inflow of PE capital. Since then, the league has witnessed the entry of multiple PE firms and their founders, who have purchased stakes in teams as entities and individuals. Among the major sports leagues in the US, MLB exhibits the largest disparity between the biggest and

11: "NBA To Allow Pension and Sovereign Funds To Buy Team Stakes," Bloomberg, Brandon Sapienza, December 1, 2022.

12: "Reports: NBA Agrees to Terms on \$76B Media Rights Deals," ESPN, Associated Press, July 10, 2024.

smallest teams, not to mention its sluggish growth compared with its counterparts. MLB has faced challenges in expanding the game and reaching a younger audience. However, that may be changing. For example, through the start of the 2024 season, the median age of an MLB ticket buyer has dropped six years—from 51 to 45—since 2019, with a 9.8% increase in ticket buyers aged 18 to 35.¹³ And prior to this recent reversion, MLB has still garnered significant interest from major broadcasting companies for media rights deals.

The 2024 World Series might have helped reverse this trend. Through the first two games of 2024's championship series, viewership increased by 63% from the prior year. However, that increase pales in comparison with the 93% bump in viewers aged 18 to 34, which helped to draw record social media engagement.¹⁴ The spike is the largest seen for the event across any age demographic. This growth can largely be attributed to the heavyweight matchup of the Yankees versus the Dodgers and the face-off of Aaron Judge and Japanese superstar Shohei Ohtani, who has undoubtedly drawn millions of Japanese viewers, capturing a new market of young viewers. These factors will undoubtedly benefit the league and its growth prospects with younger audiences in the coming years. The improving prospects can appeal to investors who might view this as a turning of the tide and be the jolt the league needs to keep pace with its major-league peers.

In the 2022 MLB season, notable changes were implemented to captivate a larger audience. Over the years, the average length of an MLB game was increasing, surpassing three hours per game by the end of the 2022 season. MLB introduced a pitch clock to address this, resulting in a noticeable improvement. As a result, total MLB attendance saw a remarkable increase of 9.6% compared with 2022, marking the highest surge since 1993, when the league expanded from 26 to 28 teams.¹⁵ It is worth noting that 26 of the 30 MLB teams experienced YoY growth in total attendance. The positive impact of higher attendance reverberates throughout the league, benefiting owners and investors alike. With increased attendance comes the potential for increased ticket, concession, and merchandise sales, all contributing to a boosted bottom line for owners and investors.

The Baltimore Orioles, the latest MLB team to be sold via a majority stake, has been acquired by David Rubenstein, co-founder of The Carlyle Group, and Michael Arougheti, co-founder and CEO of Ares Management. This acquisition values the team at \$1.7 billion. Additionally, the deal included the sale of the Mid-Atlantic Sports Network that is majority-owned by the Orioles and shared with the Washington Nationals team, which has been rumored to be for sale for months.¹⁶

The NHL

The revised bylaws for the NHL mirror those of the NBA and MLB. Shortly after the NHL bylaws were modified, Arctos Sports Partners wasted no time securing approval from the league to acquire up to 10% ownership in the Minnesota Wild and an undisclosed stake in the Tampa Bay Lightning. The NHL, too, finds itself in a

13: "MLB Fans Getting Younger as More Kids Taking to the Diamond," Major League Baseball, Anthony Castrovine, April 25, 2024.

14: "Nearly 30 Million Average Viewers in U.S. & Japan for First Two World Series Games," Major League Baseball, October 28, 2024.

15: "Attendance Up, Game Time Down in Record-Setting '23 Season," Major League Baseball, David Adler, October 2, 2023.

16: "Orioles Deal May Boost Washington Nationals Sale Prospects," Sportico, Eben Novy-Williams, February 2, 2024.

favorable position with ample room for growth. Similar to the NBA, the NHL allows pension and SWFs to invest in its teams, but potential deals are evaluated on a case-by-case basis. Hockey is known for being an expensive sport to play, thus attracting an audience with one of the highest incomes among major sports in North America. The sport has already captured a significant market share, but there is still plenty of potential to expand its fan base.

More recently, a consortium led by Blue Owl co-CEOs Doug Ostrover and Marc Lipschultz acquired a stake in the Tampa Bay Lightning and its owner, Vinik Sports Group. As part of the agreement, Arctos is selling a portion of its stake, marking the second PE exit from a major league sports franchise, following Blue Owl's exit of its stake in the NBA's Phoenix Suns detailed above. As a result of the transaction, the Lightning is now valued at \$1.8 billion, a substantial increase from its \$650 million valuation in 2021, when Arctos first acquired its stake.

Among the five major North American sports leagues open to PE capital—the NFL, the NBA, MLB, the NHL, and MLS—the NHL has the lowest proportion of teams affiliated with or backed by private equity, with only [10 of the 32 teams](#) having a PE connection. The league presents an attractive investment opportunity, especially considering that only MLS has a lower average team valuation among the major North American leagues.

In 2021, the NHL sealed a seven-year multiplatform deal with ESPN, committing to pay the league \$400 million annually until 2028. Additionally, Warner's TNT Sports secured a separate agreement with the NHL, pledging \$250 million annually. These two deals effectively doubled the NHL's previous media rights contract, indicating a strong demand for the sport. ESPN, alongside its affiliates ESPN+ and Hulu—boasting approximately 25 million and 54 million subscribers, respectively, through the end of Q4 2024—provides access to the NHL game library,^{17, 18} contributing to increased viewership in the inaugural season under the new agreement. ESPN's overall growth in hockey viewership can be partly attributed to leveraging various platforms. This positive trend continued into the beginning of the 2023 season, with the opening night doubleheader witnessing a 40% increase in average viewership compared with the previous season.¹⁹ The heightened viewership generates increased advertising demand, enhancing the NHL's appeal to investors and potentially attracting interest from those seeking to secure a stake, either majority or minority, in a franchise.

MLS

MLS stands to gain significantly from the infusion of PE capital. While MLS is still in its infancy relative to its American counterparts, whose leagues have an average founding year of 1915, it continues to expand with the recent additions of Charlotte FC and St. Louis City SC in 2022 and 2023, respectively. San Diego added a franchise, joining the league in the 2025 season. Private capital investment plays a pivotal role in the MLS blueprint. For instance, the ownership group of the new San Diego

17: "Number of Subscribers To Streaming Service ESPN Plus in the United States From 1st Quarter 2019 to 1st Quarter 2025," Statista, Julia Stoll, February 13, 2025.

18: "Number of Hulu's Paying Subscribers in the United States From 1st Quarter 2019 to 1st Quarter 2025," Statista, Julia Stoll, March 11, 2025.

19: "NHL Opening Night Delivers Record Viewership on ESPN," National Hockey League, October 11, 2023.

team includes Dan Dickinson, co-founder and executive chairman at Washington DC-based PE firm HCI Equity Partners. Similarly, Charlotte FC is owned by Carolina Panthers owners and hedge fund billionaire David Tepper. The capital infusion from investors, including PE firms, facilitates the development of youth academies, state-of-the-art stadiums, and top-notch facilities.

These investments also attract talented players from other leagues, driving further growth for MLS. The poster child of this is the signing of Lionel Messi by Inter Miami, which has already generated attention for the league. MLS Season Pass subscriptions on Apple TV have more than doubled since Messi's arrival.²⁰ His impact has also increased ticket prices for all of Miami's matches. The presence of a superstar like Messi can draw in further investor capital. Ares, an existing investor in Inter Miami FC, injected an additional \$75 million into the club in August 2023. The positive impact of Messi's signing extends beyond Miami, benefiting the entire league. With Apple taking the lion's share of the media rights for the next decade and several other growth drivers in place, such as expansion teams, the future looks promising for the league's continued success.

The impact of Messi on MLS, its teams, and investors will resonate for years to come. His influence is evident in increased viewership, advertising revenue, and a surge in new customers for the league. This success story is a model that MLS will undoubtedly look to replicate to attract other top-tier players who have excelled abroad. The inclusion of global superstars not only benefits the player's team but elevates the league as a whole, fostering growth in new markets and rivaling other major leagues in overall expansion and development.

Formula One

F1 has experienced a surge in activity and investor interest, largely attributed to the popular Netflix documentary "Formula 1: Drive to Survive," which has released five seasons chronicling the world of F1. In 2017, Liberty Media acquired F1 from a consortium of sellers led by CVC Capital Partners for \$4.6 billion. Since then, revenue has doubled and reached \$3.2 billion.²¹ F1's growth and the implementation of spending limits that cap the amount of money teams can throw at car development have prompted investors to pour money into teams, as financial regulations and the limited number of teams—10 for the time being—have led to increased valuations. While F1 did not previously entertain the idea of an expansion team, that recently changed with the addition of Audi F1, detailed below. However, existing teams receive compensation via an anti-dilution fee paid by the new entrant.²²

Recent investments include Arctos Sports Partners acquiring a minority stake in the Aston Martin F1 Team at a valuation of \$1.1 billion, and an Otro Capital-led consortium investing \$212 million in Alpine Racing for a 24% stake. Notable participants in the consortium include RedBird Capital Partners, actor Ryan Reynolds' Maximum Effort Investments, and renowned sports professionals like

20: "Lionel Messi Lifts MLS to New Heights, but the League Needs More Than 'The Goat' To Grow," CNBC, Lillian Rizzo, August 24, 2023.

21: "F1 2023 Revenue Soars 25% YoY to US\$3.2bn," SportsPro, Cian Brittle, February 29, 2024.

22: "F1 Discussing New Team \$600 Million Dilution Fund Formula," Autosport, Jonathan Noble, May 25, 2024.

Patrick Mahomes, Travis Kelce, and Rory McIlroy. Other significant investments in F1 teams include the acquisition of the Williams team by US investment group Dorilton for €152 million and McLaren Racing selling a stake to MSP Sports Capital and other investors, valuing the team at £560 million. SWFs are also making their mark on the sport. The new expansion team, Audi F1, set to begin racing in 2026, recently saw SWF Qatar Investment Authority acquire a significant minority stake. Beyond team investments, F1 has also attracted attention for its streaming rights. Disney and F1 recently extended their streaming rights agreement through 2025, while reports suggest that Apple is in the process of offering \$2 billion per year, more than double what the circuit currently brings in, and would give Apple exclusive global streaming rights to F1 races.²³

The PGA Tour

The PGA Tour is still amid its announced merger with PIF-backed LIV Golf. This merger is under review by the Federal Trade Commission and the Department of Justice due to antitrust concerns and issues over player contracts. However, both parties aim to finalize the agreement in the near future. Meanwhile, the PGA Tour has reached a deal with Strategic Sports Group (SSG), a consortium of billionaire sports team owners. SSG will invest up to \$3 billion into a new for-profit entity, PGA Tour Enterprises. This entity will house the Tour's commercial interests, valued at approximately \$12 billion after the deal.²⁴ Fenway Sports Group leads SSG, and it will make an initial investment of \$1.5 billion, with the potential for an additional \$1.5 billion later. Notably, this deal allows for a co-investment from PIF. As part of the agreement, the Tour has reportedly offered players an equity stake in this venture, which sets a precedent among major US sports leagues. The initial player equity grants will be approximately \$930 million distributed to 193 players based on four qualifying categories.²⁵ PIF has looked to ingrain itself even further in the sport, with a deal to acquire a 6% stake in the PGA's commercial arm, PGA Tour Enterprises, at a \$12 billion valuation. However, the PGA Tour has rejected PIF's most recent offer.

Elsewhere in the golf world, The Golf League (TGL), co-founded by golfers Tiger Woods and Rory McIlroy, recently launched. It is a private capital-backed business that includes PE firm Dynasty Equity, Blackstone executive David Blitzer, and a large consortium of VCs and professional athletes. TGL is a simulated golf league that follows teams of professional golfers facing off against each other. While the league only recently launched, it has been met with immediate popularity. Spinoffs of sports leagues have become increasingly popular in recent years and have been a way for investors to gain exposure to the sports industry without having to come up with the hundreds of millions of dollars required to invest in the top five professional North American sporting leagues.

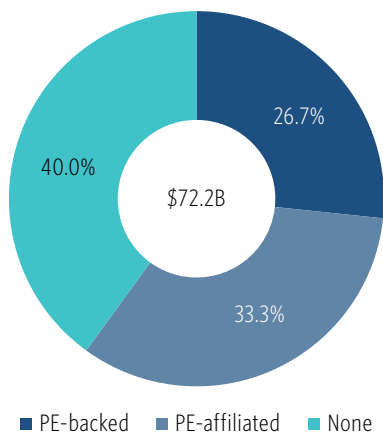
23: "Apple Reportedly Making Push for Global Formula 1 Rights," *Front Office Sports*, David Rumsey, October 1, 2023.

24: "PGA TOUR Launches PGA TOUR Enterprises, New Program That Transforms Players Into Equity Holders," *PGA TOUR*, January 31, 2024.

25: "PGA Tour Lays Out How the Player Equity Program Will Work," *NBC Sports*, Rex Hoggard, April 24, 2024.

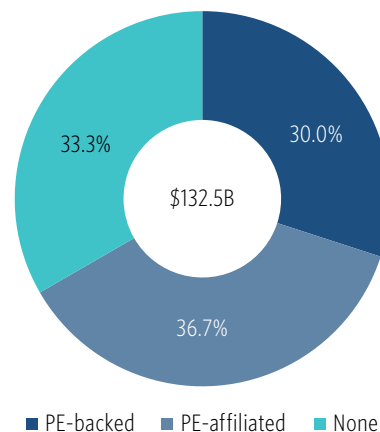
Share of teams with PE backing by professional sports league

MLB



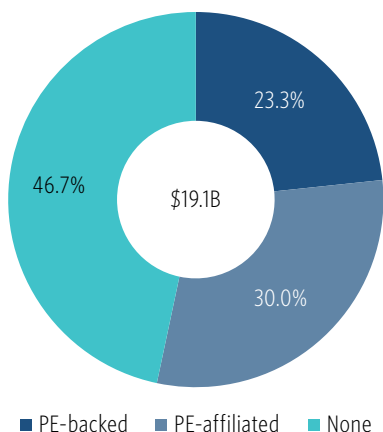
Source: PitchBook • Geography: North America • As of May 20, 2025

NBA



Source: PitchBook • Geography: North America • As of May 20, 2025

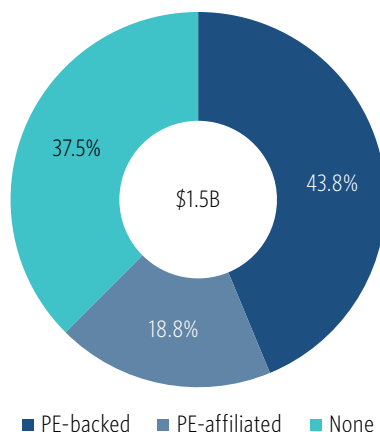
MLS



Source: PitchBook • Geography: North America • As of May 20, 2025

Note: Expansion team San Diego FC, which began play in the 2025 season, is not included in the total team value figure.

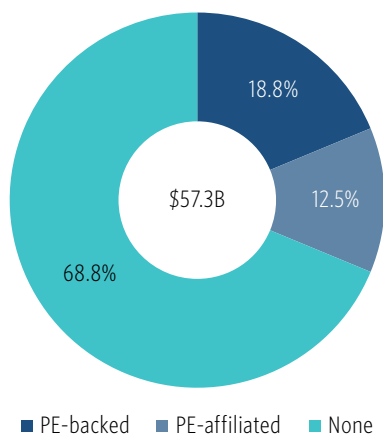
NWSL



Source: PitchBook • Geography: North America • As of May 20, 2025

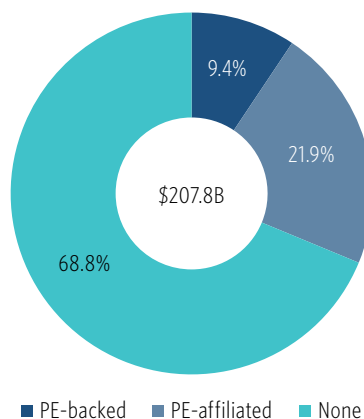
Note: The Boston and Denver expansion franchises included in this chart bring NWSL to 16 teams when they begin to play next year and are not included in the total team value figure.

NHL



Source: PitchBook • Geography: North America • As of May 20, 2025

NFL



Source: PitchBook • Geography: North America • As of May 20, 2025

Media rights

While PE firms have explored and even acquired stakes in the media rights of some of Europe's largest football leagues and teams, the same cannot be said for North American sports leagues. Media rights serve as a key recurring revenue stream for sports clubs and can help attract investors. The sports industry has witnessed a significant demand for new and original content from fans, streaming platforms, and networks. This demand has led sports-related businesses to require flexible and scalable capital to fuel their growth. Moreover, the value of premium content, particularly live sports, has been elevated by streaming platforms. While PE may eventually play a role in scaling the sports industry, for now, these firms are primarily benefiting from the positive impact of growing media rights. Landmark agreements signal a promising future for teams and their valuations, highlighting the ongoing importance of media rights in the industry.

Live sports remain a cornerstone for traditional broadcasters to captivate large audiences, while streaming platforms leverage sports as a tool for customer acquisition and retention. This dynamic is heightening competition and driving up the value of media agreements. The value of live sports media rights has surged, reaching almost \$56 billion in 2023, and is projected to exceed \$60 billion within the next two years.²⁶ The influence of live sports becomes evident when examining the top 100 most-watched US TV broadcasts of 2024, with 81 being sporting events.²⁷ While still accounting for the vast majority, it is worth noting that 2024 was an election year; as a result, political programming accounted for 16 of the 100, whereas sporting events made up 97 out of the 100 most-watched events in the US in 2023. While these broadcasts primarily featured college football or the NFL, the latter recently allowed PE capital to be invested. In contrast, college football prohibits such investment for the time being, but the popularity of both highlights the significant role of sports in live television.

Sports betting and commercialization

In recent years, the world of organized sports betting has experienced tremendous growth. Numerous US-based teams have opened sports books in stadiums, fields, and arenas. As more states embrace sports betting, the industry has seen a surge in revenue. For instance, in 2022, New York State legalized sports betting and generated an impressive \$1.4 billion in total revenue within the first year.²⁸ Currently, sports betting is legal in 39 states and the District of Columbia, attracting the attention of private equity firms due to the expansive opportunities within the field.

This growth extends beyond teams and states. Leagues are partnering with sportsbooks, where the sportsbook becomes the official sponsor of the league or even specific teams. Moreover, media conglomerates like ESPN and TNT are also teaming up with sportsbooks, even integrating betting odds into its broadcasts. The

²⁶: "What You Need To Know About U.S. Sports TV Contracts," Sportico, Anthony Crupi, February 1, 2024.

²⁷: "NFL Owns 72 of TV's Top 100 as Politics Loosens Sports' Grip," Sportico, Anthony Crupi, January 3, 2025.

²⁸: "New York Sees Record US\$16.2bn Sports Bets Placed in 2022," SportsPro, Rory Jones, January 10, 2023.

involvement of teams is evident as well. For instance, in 2020, the New York Yankees announced a partnership with FanDuel, designating it as an official sports betting partner.²⁹ This collaboration represents just the beginning, as the full potential in this area is only starting to be explored.

The expansion of sports betting has led to new market participants looking to capitalize. PE- and VC-backed company Fanatics, a prominent manufacturer and online retailer of licensed sportswear and sports merchandise, has entered the world of sports betting. It outbid DraftKings with a \$225 million offer to acquire PointsBet, a US-based sportsbook. With the bid approved by the board, Fanatics is poised to capitalize on the industry's profitability. Similarly, Apollo portfolio company Yahoo acquired sports-betting app Wagr in 2023, integrating it into its Yahoo Sports platform as Yahoo looked to unlock new revenue opportunities for its fantasy operation in North America by monetizing its large user base. As more states legalize sports betting and investors witness the industry's profitability, the opportunity for capitalization continues to grow. The future looks promising, with increasing investments flowing into this space.

The sports industry offers a remarkable opportunity for advertising revenue due to the global reach of sports teams and leagues. It presents an attractive prospect for investors, with extensive sponsorship and brand advertising possibilities. By aligning their products or services with successful teams, athletes, or events, companies can gain visibility and access a broad audience, thereby providing a significant revenue stream for sports organizations.

In recent years, several major US leagues have followed the trend of soccer teams worldwide by incorporating sponsors on jerseys and other equipment. The NHL, for instance, now features sponsors on team helmets and an additional sponsor patch on the upper right side of the chest. Similarly, in the NBA, teams now wear sponsor patches on the upper left side of the chest. Under the new collective bargaining agreement in MLB, teams can sell advertising patches on players' jerseys and decals on their batting helmets. For example, the New York Yankees introduced jerseys with a patch on the left sleeve, displaying sponsor Starr Insurance. Furthermore, at the start of the 2024 MLB playoffs, the league announced that batting helmets for all teams would feature ads after striking a two-year deal to place the name and logo of German company Strauss on both sides.

Interestingly, this phenomenon has yet to gain traction in the NFL, which remains the most profitable among the major sports leagues and has only recently permitted PE capital to be invested in the league. As the biggest revenue generator in American sports, the league may not feel pressured to introduce jersey patch sales. Furthermore, Commissioner Roger Goodell is firmly against the idea.

²⁹: ["FanDuel Expands Its Partnership To Become an Official Sports Betting Partner of the New York Yankees," FanDuel, April 25, 2022.](#)

VC in sports

While venture funds are unlikely to be used when acquiring stakes in teams or their encompassing businesses, they can invest in technologies and companies that have the potential to revolutionize the sports industry. Numerous VC firms and funds are dedicated to this sector, some of which have notable names associated with them, such as Lionel Messi. Toward the end of 2022, Messi launched an investment firm called Play Time Sports-Tech, focusing globally on investing in sports, media, and technology. Notable examples of companies in the sports industry that have previously received VC backing include FanDuel and DraftKings, which are two of the largest sports betting platforms in the US. Other examples include DAZN, a sports streaming platform, and SeatGeek, a ticketing platform that facilitates the buying and selling of tickets for live sports, concerts, and theater events.

Leagues are now getting into the business and looking to launch venture-based funds to invest in the ecosystem. In July 2024, OneTeam Partners, the commercial venture created in 2019 by the NFL and MLB players associations, announced that it was looking to launch a \$75 million fund to invest in early-stage businesses that support athletes. The group is looking for a GP for the venture fund.³⁰ Moreover, several teams across major American leagues have done the same, including the San Francisco 49ers, whose venture arm finalized an acquisition for a majority stake in Leeds United, a professional football team in the English Football Championship, the second-highest football league in England. Establishing a venture arm within the franchise's holding company allows for further diversification of revenue streams beyond ticket sales, media rights, and merchandise. The investment arm can also enable the team to capitalize on market growth. The sports and entertainment industry constantly evolves with new opportunities, such as sports betting or digital media. Successful investments in these high-growth startups can significantly enhance the financial position of a team.

Outlook

Sporting teams and their surrounding businesses remain highly sought-after investments, representing a coveted opportunity in established leagues where expansion is a rarity, and a high-growth opportunity in leagues that are less seasoned. With a limited number of organizations and owners, the appeal is undeniable. Even in mature leagues boasting close to 30 teams, adding one or two franchises does not diminish the value of existing owners and their teams. Team valuations have skyrocketed in the past decade, creating a barrier for potential investors. Private capital, specifically PE, can play a crucial role in filling this gap and capitalizing on the returns from these investments. It is foreseeable that more funds will be dedicated to this industry, as sports remain a lucrative draw for investors, proving to be an even more profitable venture than ever before.

30: "OneTeam Partners Mulls \$75 Million Venture Fund," Sportico, Scott Soshnick and Eben Novy-Williams, July 15, 2024.